approach where affected filers or submitters are required to provide disclosures in a machine-readable format.[782] According to this commenter, such an approach would facilitate data analysis without imposing burdensome and ambiguous requirements on affected filers or submitters. However, adopting a principles-based approach (i.e., an open-ended data language requirement) to data structuring would have created issues for users of the data. Specifically, such an approach would have allowed different filers or submitters of the same document to provide their disclosures in different data languages. In such instances, data users such as Commission staff and market participants would have been unable to incorporate disclosures from filers or submitters using one data language into the same datasets and applications as disclosures of other filers or submitters using different data languages without undertaking data conversion processes that are frequently burdensome and imprecise. This may have hindered investors, the Commission, and market participants from efficiently comparing disclosures across the complete set of entities within a given filer population and could therefore have dampened the benefits that would otherwise accrue from requiring the disclosures to be machine-readable. Instead, specifying the data language to be used will likely increase the probability of realizing the anticipated benefits of machine-readability for users of the Structured Documents.

2. Costs

The rule amendments alter the way the affected entities provide the affected documents, specifically by requiring electronic submission or posting of the affected documents, and by requiring most of the content of the affected documents to be provided in a structured data language. The affected entities already are required to prepare and submit the affected documents with the Commission pursuant to Exchange Act rules that currently govern each

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[782] See SIFMA 5/22/2023 Letter at 6.

category of affected entity.[783] Thus, we generally do not expect the affected entities to incur incremental costs associated with preparing (e.g., collecting, drafting, reviewing) the information required to be disclosed in the affected documents prior to filing or posting under the rule amendments.[784] Rather, we expect certain entities to incur incremental costs associated with structuring the prepared information.

a. Electronic Submission and Posting; Clarifying Changes to the FOCUS Report

As discussed above, a significant number of the entities subject to the rule amendments already have experience with EDGAR due to other reporting obligations and thus are not expected to incur EDGAR-related costs incremental to the rule amendments. Entities that use EDGAR for purposes of complying with reporting obligations under existing rules generally are not expected to incur additional EDGAR access costs due to the rule amendments.[785] Reporting entities that do not have experience with EDGAR may incur initial compliance burdens, including the one-time burden associated with filing a Form ID for the first time to obtain the access codes needed to submit an application on the Commission's EDGAR system.[786] One commenter agreed with our assessment, stating that there would be an initial fixed cost to electronic submission posting, but that ongoing additional costs would be

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783 ANE Exception Notice withdrawals currently are not required. However, a Registered Entity seeking withdrawal could send a request to a designated electronic mailbox. See supra note 291 and accompanying text, and section IX.D.13.

784 A subset of security-based swap broker-dealers would incur additional costs associated with filing, due to the FOCUS report amendments that would require them to file information that under the baseline they currently do not file.

785 If reporting entities with EDGAR experience require time to switch the affected documents from paper to EDGAR, they may incur an additional initial cost.

786 See 17 CFR 232.10(b).

minimal.[787] The Commission estimates that the cost for entities that do not have experience with EDGAR will be around $5,000 on a one-time basis to become familiar with the EDGAR system for the purposes of filing for Rules 17a-5, 18a-7, and 17a-12.[788]

Due to the widespread use of the internet, the cost of establishing and maintaining internet access is not expected to stem from the amendments. The Commission preliminarily believes that the costs associated with providing materials pursuant to Rule 17a-22 by registered clearing agencies on websites, and the costs associated with posting information currently required on Form 19b-4(e) by SROs, in addition to the reduced timeframe for compliance, is likely not to add significant costs to a registered clearing agency's 17a-22 obligations or an SRO's 19b-4(e) obligations.

Several amendments related to FOCUS Reports could impose burdens on market participants. The amendments to FOCUS Report Part II are expected to result in an initial burden of $2,130 on each Part II filer so firms can familiarize themselves with the amendments to FOCUS Report Part II.[789] These amendments are expected to either have no impact on or reduce the ongoing burden on most filers, because they will reduce questions about where and how to report items on the form. However, because the amendments require stand-alone swap dealers and stand-alone introducing brokers to complete a new section of FOCUS Report Part II that these types of firms were not previously required to complete (i.e., Computation of CFTC

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787 See XBRL Letter at 3 and 7.

788 See supra section IX.D.9. The one-time cost is estimated to require sixteen hours of labor from a programmer. 16 hours x $316 per hour = $5,056.

789 5 hours x $426 per hour (compliance attorney) = $2,130.

Minimum Capital Requirements), these amendments are likely to result in an ongoing annual burden of $426 hour per stand-alone swap dealer or stand-alone introducing broker.[790]

The amendments to Part IIC are expected to result in an initial burden of five hours on each bank SBS Entity so that firms can compare the revised FOCUS Report Part IIC with FFIEC Form 031.[791] However, these amendments are expected to either have no impact on or reduce the ongoing burden on bank SBS Entities, because they will reduce questions about how to complete FOCUS Report Part IIC consistently with FFIEC Form 031.

The amendment to signature requirements for the FOCUS Report is expected to result in an initial burden of $426 on each filer so that the firm can review the standards for an electronic signature on the FOCUS Report Part II, IIA, or IIC, as applicable.[792] However, this amendment is expected to either have no impact on or reduce the ongoing burden on FOCUS Report filers, because they will not be required to furnish as many signatures as before the amendment, and it may be easier to prepare electronic signatures rather than manual signatures since firms will already be familiar with the process and can easily obtain these signatures while working remotely.

The amendment to OTC derivatives dealer requirements is expected to result in an initial burden of $4,740 on each OTC derivatives dealer so that the firm can familiarize itself with the SEC eFOCUS system.[793] However, this amendment is expected to either have no impact on or reduce the ongoing burden on OTC derivatives dealers, because filing the FOCUS Report electronically is an automated process as compared to filing by paper. In addition, OTC

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790 1 hour x $426 per hour (compliance attorney) = $426.

791 See supra note 651 and accompanying text,

792 1 hour x $426 per hour (compliance attorney) = $426. See supra note 652 and accompanying text.

793 15 hours x $316 per hour (programmer) = $4,740.

derivatives dealers are required to be affiliated with a broker-dealer, which means that OTC derivatives dealers' operational staff already are familiar with the FINRA eFOCUS system's interface, and can use the same preexisting templates, software, and procedures currently used by the broker-dealer to file FOCUS Reports on the FINRA system.

b. Structured Data

Certain structured data requirements under the amendments will impose additional compliance costs on affected entities. Specifically, the Inline XBRL requirements for Form 1, Form CA-1, Form X-17A-5 Part III and related annual filings, Form 17-H, and the CCO reports (or home country reports submitted pursuant to a substituted compliance order under Exchange Act Rule 3a71-6) will result in additional compliance costs, both initial and ongoing, for the SROs, broker-dealers (including OTC derivatives dealers), and SBS Entities filing or submitting those documents relative to the baseline, because those entities will be newly required to apply Inline XBRL tags to the documents before filing or submitting them to the Commission (or pay a third-party tagging service provider to do so). The Commission does not expect the requirements to provide Form X-17A-19, the execution pages of the Covered SRO Forms, the facing page of Form X-17A-5 Part III, the facing page and Part II of Form 17-H, and the VDNs to the Commission using custom XML-based data languages will impose similar structured data implementation costs on the SROs, broker-dealers, and SBS Entities that will be subject to those requirements. For the custom XML requirements on EDGAR filings, EDGAR will provide filers or submitters with the option of using a fillable web form that will convert inputted disclosures into the relevant custom XML.[794] Other than the exchanges and clearing agencies

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[794] See EDGAR Filer Manual, Volume II, Chapter 8. As discussed in section V.C, supra, one commenter stated that the Commission should allow SBS Entities to submit a structured data file for the VDN (rather

filing Form 1 and Form CA-1, respectively, the Commission expects these entities to input their disclosures into the fillable EDGAR web form, and thus not be required to incur compliance costs associated with structuring disclosures in custom XML data languages.

By contrast, the Commission expects exchanges and clearing agencies, which will be subject to more extensive custom XML disclosure requirements as a result of the rule amendments, to have the requisite sophistication to encode their Exhibit disclosures in custom XML and will submit the custom XML Exhibits to EDGAR directly rather than manually completing lengthy fillable forms to be converted into custom XML documents.[795] This will cause exchanges and clearing agencies to incur implementation costs associated with integrating any new or updated custom XML schemas into their existing data systems.[796] Nonetheless, exchanges and clearing agencies may find direct submission in custom XML beneficial, because it allows for greater automation in the process of submitting data that is already structured directly to EDGAR, and removes the need for the final manual step of converting structured data into unstructured information to be typed into fillable web fields.

With respect to the requirement for SROs to post Rule 19b-4(e) information using the custom XML schema for this information (such schema will be posted on the Commission's website), the Commission expects that the SROs will incur higher implementation costs than those affected entities that are subject to EDGAR custom XML requirements, because SROs will need to encode the posted information in accordance with the schema rather than using a fillable web form on EDGAR. This will also be the case for any entities that choose to submit EDGAR

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than completing a fillable web form) to preserve efficiencies arising from firms' existing systems. See SIFMA 5/22/2023 Letter at 11. Under the rule amendments, as under the proposal, SBS Entities will have this option.

795 See supra sections II.A.3, II.D.4, and VII.A.

796 See infra text accompanying notes 835 and 843 for related cost estimates.

documents directly in the relevant custom XML data language rather than use the fillable form that EDGAR provides.

Multiple commenters generally agreed that the structured data requirements under the rule amendments will impose additional costs on affected entities, but disagreed with the Commission's estimates on the specific nature and magnitude of such costs.[797] A commenter, in stating that the proposed structured data cost estimates were too low, stated that using XBRL and XML for the affected documents would require firms to expend substantial resources and undergo fundamental operational changes.[798] According to the commenter, the Inline XBRL and custom XML requirements would, in particular, require firms to: hire additional personnel that are proficient in Inline XBRL and custom XML; develop processes for converting the relevant data into Inline XBRL and custom XML and uploading that data to EDGAR; train new and existing personnel on such processes; and overhaul systems and operations to integrate the Inline XBRL/custom XML production and processing.[799] The commenter also conveyed one firm's estimates that it would cost $20,000 to $40,000 per year per registrant to retain an XBRL tagging service provider and $20,000 to $30,000 per year per entity to purchase the tagging software.

As explained in the sections IV.A and VII.A above, the Commission disagrees with the commenter that the structured data requirements will require firms to undergo all the changes the commenter described. For the custom XML requirements, most firms will comply with those requirements by completing fillable web forms on EDGAR; other firms will have the requisite sophistication to encode disclosures using custom XML schemas without the need for substantial

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797 See Integrated Solutions Letter; SIFMA 5/22/2023 Letter.

798 See SIFMA 5/22/2023 Letter at 4.

799 See id. at 5.

additional training or hiring of personnel. For Inline XBRL requirements, firms that outsource compliance to a third-party service provider will not need to hire additional personnel proficient in XBRL and XML, develop processes for converting data into XBRL and XML and uploading that data to EDGAR, train new and existing personnel on such processes, or overhaul systems and operations to integrate XBRL or XML production, because these tasks will have been performed by the third-party service provider, and not by the firm itself. Firms that instead comply with structured data requirements internally will not need to hire additional personnel that are proficient in XBRL, because these firms can license software tools that allow staff without XBRL proficiency to apply Inline XBRL tags to regulatory disclosures without any need to overhaul the firm's systems or operations. These firms will, however, likely need to implement processes for the use of such software tools and train staff on these processes. The Commission includes these process implementation and training costs in its estimates of initial structured data costs and burdens.[800]

As to the magnitude of the structured data compliance costs, the Commission estimated at proposal, and continues to estimate for the rule amendments, that certain affected filers or submitters (specifically, clearing agencies and exchanges not affiliated with public companies) will incur costs of $20,000 to $30,000 to structure the Structured Documents, but that other affected filers or submitters will incur lower costs.[801] These estimates are based on considerations such as: i) prior surveys regarding structured data costs; ii) publicly available

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800 Specific cost ranges for initial structured data implementation costs are set forth later in this section (X.C.2.b).

801 As discussed in further detail later in this section, the Commission estimates clearing agencies will incur approximately $9,650 to $28,910 to structure Form CA-1 in the initial year of compliance, and $6,430 to $19,270 to structure Form CA-1 in subsequent years. The Commission expects exchanges unaffiliated with public reporting companies will incur approximately $10,140 to $30,380 to structure Form 1 in the initial year of compliance, and approximately $6,760 to $20,250 to structure Form 1 in subsequent years.

information on XBRL tagging service and software pricing; iii) the expected extent and complexity of disclosures to be structured in each type of Structured Document; iv) certain affected entities' affiliations with companies that have experience structuring disclosures; and v) for custom XML requirements, the availability of a fillable web form option that enables affected filers or submitters to, at their option, forgo structuring their disclosures. The Commission provides further detail on these factors later in this section. None of the aforementioned considerations has changed or lost relevance since the amended rules were proposed in March 2023.

The Commission is, however, adjusting the extent to which the structured data cost estimates reflect reduced burdens for filers or submitters affiliated with reporting companies that have existing Inline XBRL experience. In the proposing release, the Commission requested comment on whether it is reasonable to assume that affected entities with affiliates subject to Inline XBRL requirements would be able to leverage the Inline XBRL compliance software licenses and/or service agreements, as well as the Inline XBRL tagging processes and experience, of those affiliates.[802] In response, one commenter stated that this is dependent on the contractual arrangements that the affiliates may have with their providers, and with the internal staffing structure for each company.[803] The Commission is therefore adjusting its structured data cost estimates to reflect that the extent to which affiliates of entities subject to Inline XBRL requirements may be able to leverage the Inline XBRL tagging processes, experience, software licenses, or service agreements of those affiliates could be limited.[804] The Commission is also

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802 See Proposing Release at 24002.

803 See XBRL Letter at 11.

804 Specifically, as detailed in the subsequent discussions of estimated cost ranges for each affected document, the Commission is applying the cost reductions to only half of all filers or submitters affiliated with reporting companies.

making two revisions to the estimates of initial implementation costs related to structured data requirements; those initial implementation cost estimates, including the revisions thereto, are discussed later in this section.

Another commenter, whose letter addressed only the proposals involving Rule 17a-5 under the Exchange Act and the FOCUS report, stated that requiring XBRL structuring will result in significant burdens for most broker-dealers.[805] The Commission agrees that the Inline XBRL requirements under the rule amendments will impose costs on broker-dealers, and estimates the extent of those costs below. As those estimates indicate, the Commission continues to expect the compliance costs for broker-dealers will vary based on factors such as the size of the broker-dealer and the extent to which the broker-dealer has experience (or has affiliates with experience) structuring their data.

Surveys on Structured Data Costs

Various XBRL and Inline XBRL preparation solutions have been developed and used by operating companies and investment companies to fulfill their existing structuring requirements under the Commission's rules. These existing requirements include multiple types of data, including numerical data in the context of financial statements, numerical data in the context of

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[805] See Integrated Solutions Letter at 1. The commenter also suggested that, should the Commission nonetheless include a structuring requirement for Form X-17A-5 Part III under the rule amendments, the filing period for annual financial statement filers be extended by fifteen days to allow for XBRL encoding to be accomplished. See id. at 4. As the Commission explains in Section VII.A of this release, because the infrastructure for compliance with XBRL requirements in Commission filings (including the market for compliance software and service providers) has been in place for more than a decade, it will not be difficult for broker-dealers to comply with Inline XBRL tagging requirements within the existing filing period for Form X-17A-5 Part III. See supra section VII.A.